Factors Affecting Asset Allocation Decision



1. ***Financial Goals:*** Investors have different financial goals and they invest differently to achieve each of these goals based on the risk they can take.

2. ***Risk tolerance:*** Risk tolerance refers to how much an individual is willing and able to lose a given amount of their original investment in anticipation of getting a higher return in the future. For example, risk-averse investors favour secure, guaranteed return investments. In contrast, aggressive investors are willing to risk their investments in anticipation of higher returns.

3. ***Time horizon:*** Time to reach a goal is different and entails different risk tolerance. For example, a long-term financial goal such as retirement may prompt an investor to invest in a portfolio with higher equity exposure, since the dynamics of equity investing favours long-term investment horizon. However, investors with short-term goals may prefer exposure to stable investment options.

4. ***Life events:*** Life events such as marriage, childbirth and taking a home loan among others can have an impact on your asset allocation. These events may reduce your ability to take the risk and hence lower your existing or future equity allocation. Many of these events may also impact your cash flows and hence influence your investment decisions.

5. ***Stable Incomes:*** Regular income or cash-inflow can help one plan investing regularly and define their asset allocation strategy. For instance, a salaried individual may be more consistent in investing compare to a businessman with irregular incomes.

6. ***Nearness to financial goals:*** With every passing year, you approach closer to your financial goal, which is reason to review the asset allocation. For instance, it is common to reduce equity exposure as one approach closer to a financial goal and vice versa.

7. ***Taxation:*** One should consider tax treatment at the time of investing, during the accumulation phase and at the time of maturity, redemption or exit. Any financial product that gives you income tax benefits at all three levels could be given preference over other financial products, given everything else being constant. However, tax benefits alone shouldn't be the only reason to invest in any product.

financial goals into small investments over the period of the goal based on expected returns based on a suitable asset allocation. So, instead of stating that you need money for your son's education in 2025; you should state you will need ₹15 lakh towards his college education in 2025. By clearly defining a financial goal, you work towards setting the right approach to follow the principals of asset allocation.

You need to adjust your asset allocation as a function of your risk profile. Doing so will help you check your emotions with the way your investments perform and be able to stick to your asset allocation no matter what happens in the market. Similarly, diversification is a suitable approach to counter the unpredictability of the unknown future. Together, asset allocation and diversification will help you be disciplined with investments irrespective of market movements. You will be less reactionary to the news and market developments and not sell your investments unnecessarily because of a fall due to war in some part of the world or a pandemic situation.

It is a fact that your financial goals remain the same, whatever be the developments in the market or changes in the economy. Look at your portfolio once a quarter and how it its progress towards the goal and its relative performance to the benchmark. Every once in a while, there will be an opportunity or tough phase that the market faces, at such moments; you should not forget that you don't know what will happen tomorrow. A well-balanced asset portfolio based on your goals is ideal to aim for optimal returns while trying to minimise risks. If you are unable to figure it on your own, consider engaging with a professional financial adviser to help you plan to realise your financial goals. ●

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